THEMATIC RESEARCH · CRYPTO MARKET STRUCTURE

# Binance, Update: $6.3 Billion, North Korea and the Bill

*Binance has now confirmed what on-chain data suggested on Thursday night: about $6.3 billion was stolen from its hot wallets across ten blockchains, four times the previous record. Blockchain investigators attribute the attack to North Korea's TraderTraitor unit. Binance has frozen about $3 billion, reserved more than $6.3 billion of company funds and paused withdrawals. This update replaces the estimates in Andra Markets 2026-72 with confirmed figures.*

Global Markets Research · Digital Assets Desk Prepared by ANDRA MARKETS

~$6.4B

**Coverage summary.** Binance confirmed on 30 October that its hot wallets were compromised from about 20:05 UTC on 29 October and put the total impact at ~$6.3B; TRM Labs counted $6.36 billion moved across ten blockchains, most of it within about 20 minutes. TRM, Chainalysis and Elliptic attribute the attack with high confidence to TraderTraitor, a North Korean unit linked to the Lazarus Group and blamed for the $1.5 billion Bybit theft in February 2025; Binance co-CEO Richard Teng said the company has not attributed responsibility. Binance says it has worked with Tether, Circle and others to freeze about $3 billion, that all losses will be covered from SAFU and company funds, and that it has reserved more than $6.34 billion, $5 billion of it in the exact tokens taken. Withdrawals are suspended, with a phased restart expected within about 48 hours. Bitcoin closed Friday near $77,200, its lowest in about six weeks.

now confirmed

x4 Bybit

| STOLEN | FROZEN | RESERVE PLEDGED | LIQUIDATIONS |
|---|---|---|---|
| **$6.3B** | **~$3B** | **$6.34B** | **$1.57B** |
| *10 chains; ~20 minutes* | *with Tether, Circle and others* | *$5B in the same tokens* | *24h; ~84% longs* |

**EXHIBIT 1. BITCOIN SINCE JANUARY 2025 ($, DAILY CLOSE)**




the 6-week low

*Source: Bitstamp daily closes via public BTC price history, to 30 October 2026.*

## 1.0 What Changed Since Thursday

*From estimates to confirmation*

~$2.0B

**The number.** On Thursday night estimates ranged from about $2 billion to $5.8 billion. Binance's own figure, about $6.3 billion, sits at the top of that range and is close to TRM's $6.36 billion. It is about four times the Bybit theft, the previous record.

2.0 → 6.3

laptop → more breaches

**The cause.** Investigators first traced the entry point to a compromised DevOps engineer's laptop. Binance later said its investigation had uncovered additional points of breach, which makes the attack more complex than a single stolen key.

~$6.0B

**The attacker.** TRM Labs, Chainalysis and Elliptic all point to North Korea. Chainalysis saw stolen Binance funds mixing with proceeds from an earlier North Korea-linked exploit. Elliptic estimated North Korean hackers had stolen more than $6 billion of crypto since 2017 even before this attack.

TraderTraitor

users covered

**The bill.** Binance has pledged to cover all losses and has reserved more than $6.34 billion; $5 billion of it is already held in the exact tokens taken. SAFU, worth about $1.2 billion in Bitcoin, covers only a fifth of the loss on its own, so the company's balance sheet is doing most of the work.

~$6.3B

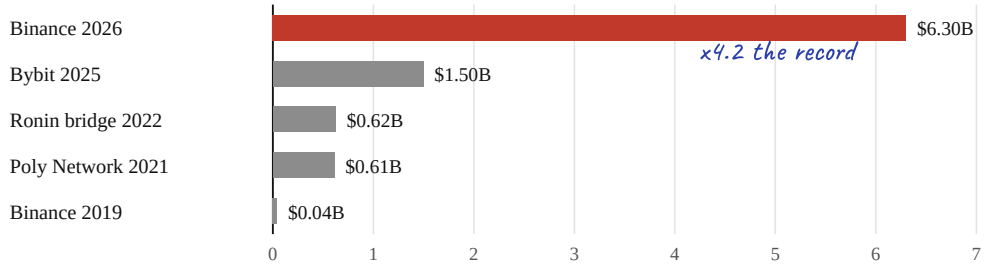
**The access.** Deposits and withdrawals were suspended on Thursday; by Friday deposits and other services were running and Binance set a window of about 48 hours to begin a phased restart of withdrawals.

withdrawals paused

the test: orderly exits

**Our reading.** Confirmation, attribution and a funded pledge have removed the worst-case uncertainty of Thursday night. The market test now moves to the withdrawal restart: an orderly reopening would turn this into a costly but contained event; queues, limits or delays would turn it into a confidence event.

**Exhibit 2. Largest crypto platform thefts ($ billion)**




*Sources: Binance and TRM Labs (2026); Kiprinform (Bybit; Binance 2019); Ronin and Poly Network as widely reported.*

## 2.0 Can Binance Pay?

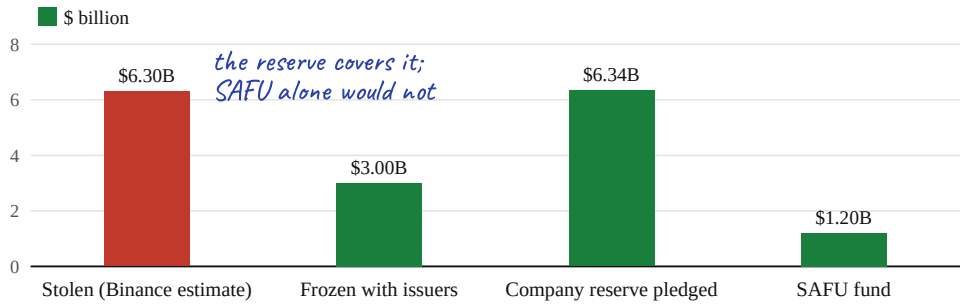
*The bill and the buffers*

5x SAFU

The arithmetic is now clearer than on Thursday. Against a loss of about $6.3 billion, Binance has frozen about $3B with stablecoin issuers and partners, has a SAFU fund worth about $1.2 billion and says it has set aside more than $6.34 billion of company funds, of which $5 billion is already held in the exact tokens stolen. If the frozen assets are recovered, the net cost to Binance would be closer to $3 billion. The attacker still controls more than 420,000 ETH and 18,270 BTC, worth about $2.4 billion, which no issuer can freeze. Binance has not announced any claims process, and McAfee warned users to ignore compensation forms or airdrops for hack victims, a common follow-up scam.

~$6.3B

**Exhibit 3. The loss and the buffers ($ billion)**




the reserve does the work

*Sources: Binance statements via AFP, CBC and Al Jazeera; Decrypt via McAfee (company reserve); Forbes and The Block (SAFU, ~$1.17-1.2B).*

**Exhibit 4. What remains outside reach ($ billion, 30 October)**



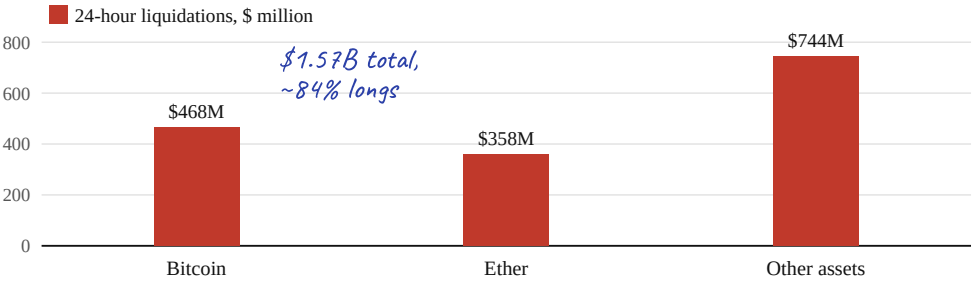

*Source: InvestmentNews citing TRM Labs (attacker holdings); Binance (frozen assets). Approximate.*

## 3.0 Market Reaction

*Leverage first, then funds*

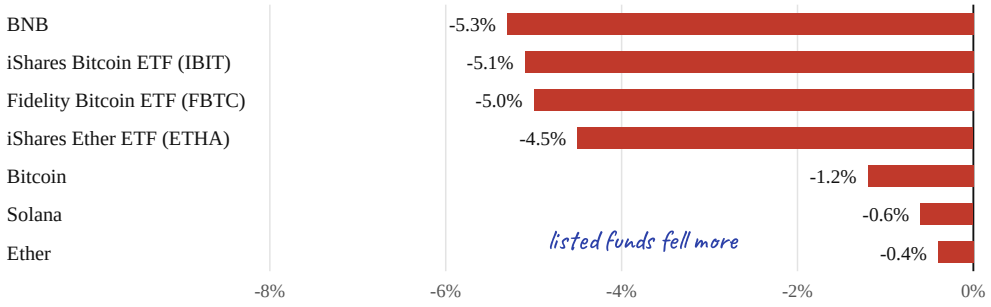
The hack hit a market that was already falling with technology stocks. Coinglass data show about $1.57B of liquidations in 24 hours across roughly 240,000 traders, with long positions about 84% of the total; Bitcoin positions accounted for $468 million and Ether for $358 million, and Binance processed about half of the liquidations. Bitcoin fell to about $76,140 on Friday, its lowest since mid-September, and closed the day near $77,200; Ether traded near $2,240 and BNB fell about 5% to around $700. Listed products fell more than the coins: IBIT and FBTC lost about 5%, and US spot Bitcoin ETFs recorded $643 million of net outflows on 30 October, ending four sessions of inflows.

**Exhibit 5. Crypto liquidations in the 24 hours to 30 October ($ million)**



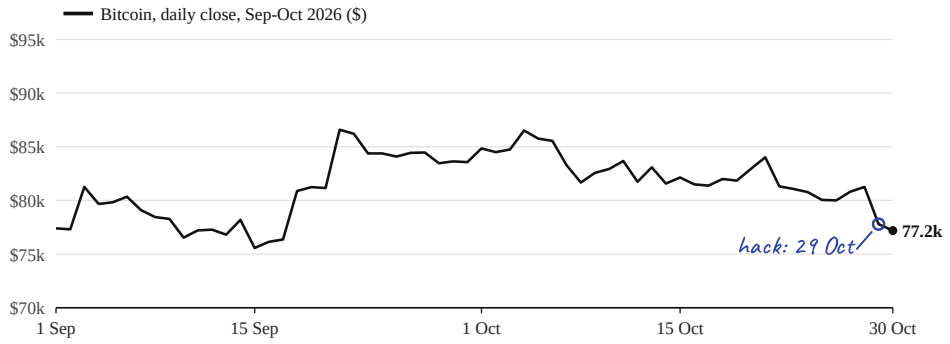

*Sources: CoinDesk and CoinGlass via Tech Insider, Crypto Times and CoinCentral. 'Other' is the remainder of the ~$1.57B total.*

**Exhibit 6. Price change on 30 October (%)**




*Source: Fool.com crypto market report, 30 October 2026 (early evening ET).*

**Exhibit 7. Bitcoin in September and October 2026 ($, daily close)**




*Source: Bitstamp daily closes to 30 October 2026.*

## 4.0 Why It Matters Beyond Binance

*Custody, sanctions and stablecoins*

~$6.3B

Three implications reach beyond one exchange. First, custody: the largest exchange in the world lost $6.3 billion from hot wallets through compromised staff devices, which will strengthen the case for cold storage, multi-party signing and segregated custody that regulators such as the EU under MiCA already require. Second, sanctions: attribution to North Korea means every exchange, bridge and mixer that touches the stolen funds faces sanctions exposure, and half the loot was frozen only because it sat in centrally issued tokens. Third, stablecoins: the speed of Tether's and Circle's freezes helped victims but confirms how much control issuers have over supposedly decentralised money.

3 lessons

## 5.0 Scenarios and Calendar

*Next two weeks*

*Exhibit A. Andra Markets scenarios*

| Scenario | Prob. | What happens | Signal |
|---|---|---|---|
| Orderly reopening | 60% | withdrawals restart within days; outflows manageable; frozen funds recovered | BNB and BTC stabilise; ETF flows turn |
| Slow reopening | 30% | limits and queues; partial recovery of frozen funds | exchange outflows; BNB underperforms |
| Confidence shock | 10% | further breaches found or coverage questioned | broad crypto sell-off; stablecoin stress |

*Andra Markets scenarios; probabilities are judgemental.*

*Exhibit B. What to watch*

| When | What | Why it matters |
|---|---|---|
| Next 48 hours | withdrawal restart | the decisive test |
| Daily | Binance net flows; proof-of-reserves | run risk |
| Daily | spot ETF flows | institutional appetite |
| Weeks | recovery of the ~$3B frozen | net cost to Binance |
| Ongoing | law-enforcement and sanctions actions | laundering routes |

*Andra Markets selection.*

reading: confirmed, attributed and funded. the restart of withdrawals is now the only test that matters

## Methodology and Source Notes

**Method.** This update uses statements by Binance, attribution by TRM Labs, Chainalysis and Elliptic, liquidation data from CoinGlass, ETF flows from SoSoValue and Bitstamp daily Bitcoin prices, as reported up to 31 October 2026. It supersedes the preliminary estimates in Andra Markets 2026-72. Not a recommendation on any crypto-asset or venue. Handwritten notes and highlights are informal commentary by the desk. This note is analysis, not investment advice.

**Principal sources.** Binance (statements via AFP/France 24, CBC, Al Jazeera); TRM Labs; Chainalysis; Elliptic; CoinDesk; CoinGlass; SoSoValue; Decrypt; The Block; Forbes; InvestmentNews; McAfee; Fool.com; Crypto Times; Cryptonomist; Tech Insider; CoinCentral; Bitstamp; Andra Markets 2026-72.

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